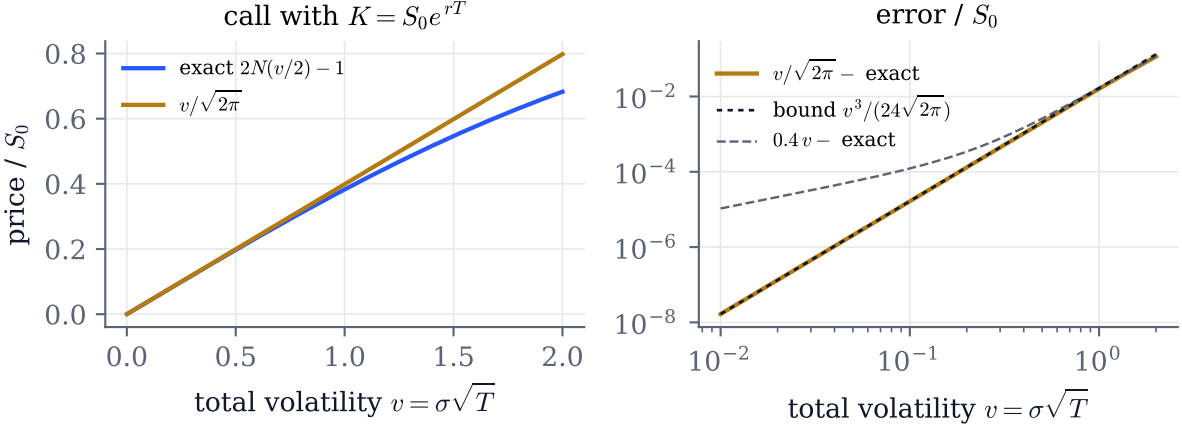
call with $K = S_0 e^{rT}$
exact $2N(v/2) - 1$
$v/\sqrt{2\pi}$
price / S_0
0.0
0.2
0.4
0.6
0.8
0.0
0.5
1.0
1.5
2.0
total volatility $v = \sigma\sqrt{T}$
error / S_0
$v/\sqrt{2\pi}$ − exact
bound $v^3/(24\sqrt{2\pi})$
$0.4\,v$ − exact
10^{-2}
10^{-4}
10^{-6}
10^{-8}
10^{-2}
10^{-1}
10^{0}
total volatility $v = \sigma\sqrt{T}$